



UNIVERSITY OF THE PUNJAB

B.S. 4 Years Program / Seventh Semester – Fall 2022

Paper: Paper: General Equilibrium and Welfare Economics
Course Code: ECON-421

Roll No.

Time: 3 Hrs. Marks: 60

THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Answer the following short questions:

(6x5=30)

- i. What is pareto improvement?
- ii. Explain Walras's Law.
- iii. Explain the first fundamental theorem of welfare economics.
- iv. What do economists mean when they say markets are mutually interdependent? Give an example to support your explanation.
- v. Why can feedback effects make a general equilibrium analysis substantially different from a partial equilibrium analysis?
- vi. Differentiate between Marginal Rate of Technical Substitution (MRTS) and Marginal Rate of Transformation (MRT).

Answer the following questions.

PUACP

- Q2. a) Using general equilibrium analysis, and taking into account feedback effects, analyze the likely effects of outbreaks of disease on chicken farms on the markets for chicken and mutton.
b) "Because all points on a contract curve are efficient, they are all equally desirable from a social point of view." Do you agree with this statement? Explain. (5+5)
- Q3. Jane has 3 liters of soft drinks and 9 sandwiches. Bob, on the other hand, has 8 liters of soft drinks and 4 sandwiches. With these endowments, Jane's marginal rate of substitution (MRS) of soft drinks for sandwiches is 4 and Bob's MRS is equal to 2. Draw an Edgeworth box diagram to show whether this allocation of resources is efficient. If it is, explain why. If it is not, what exchanges will make both parties better off? (10)
- Q4. What does the contract curve in an Edgeworth production box signify? Why do competitive markets generate equilibriums that lie on the contract curve? (10)



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UNIVERSITY OF THE PUNJAB

Fifth Semester 2017

Examination: B.S. 4 Years Programme

Roll No.

PAPER: General Equilibrium and Welfare Economics
Course Code: ECON-304

TIME ALLOWED: 2 hrs. & 30 mins.
MAX. MARKS: 50

Attempt this Paper on Separate Answer Sheet provided.

SUBJECTIVE TYPE

PART II

20

GIVE SHORT ANSWERS OF THE FOLLOWING.

All questions carry equal marks:

- Differentiate between partial and general equilibrium analysis.
- Write a note on utility possibility curve.
- Discuss the concept of product mix efficiency.
- Explain the concept of externalities.
- Explain the fundamental theorems of welfare economics.

PART III

30

All questions carry equal marks:

- Q1. Discuss the conditions necessary for efficiency. (10)
- Q2. Explain general equilibrium of production using edge worth bowly box diagram. (10)
- Q3. Discuss pareto optimality criterion of social welfare. (10)



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SUBJECTIVE TYPE

Q2. Briefly answer the following questions

(4*5=20)

- What is general equilibrium analysis?
- What is the difference between equity and efficiency?
- Differentiate between public goods and private goods.
- What is product mix efficiency?
- What is meant by welfare economics?

Q3. Explain the Bentham's and Bergson criterion of social welfare. (10)

Q4. Using an Edgeworth box, illustrate and explain the concept of Pareto efficiency. (10)

Q5. Explain the fundamental theorems of welfare economics and discuss their implications. (10)



UNIVERSITY OF THE PUNJAB

Fifth Semester – 2019

Examination: B.S. 4 Years Program

Roll No.

PAPER: General Equilibrium and Welfare Economics

Course Code: ECON-304 Part – II

MAX. TIME: 2 Hrs. 45 Min.

MAX. MARKS: 50

ATTEMPT THIS (SUBJECTIVE) ON THE SEPARATE ANSWER SHEET PROVIDED

Q.2. Questions with short answers.

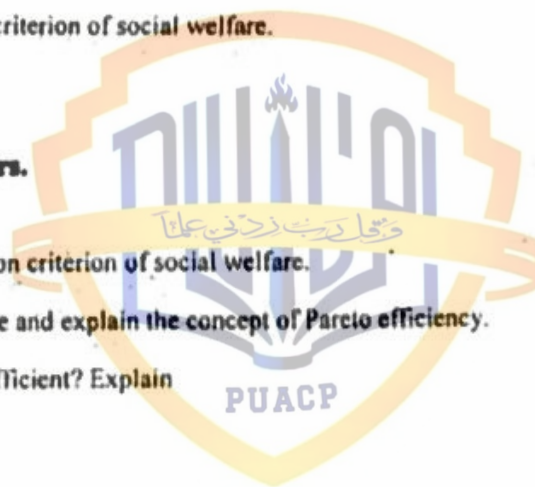
(5 x 4 = 20)

- Differentiate between general equilibrium analysis and partial equilibrium analysis?
- What is the difference between equity and efficiency?
- What is the difference between first and second fundamental theorems of welfare economics?
- Differentiate between production efficiency and product mix efficiency?
- Discuss Pareto optimality criterion of social welfare.

Q.3. Questions with long answers.

(3 x 10 = 30)

- Explain the Bentham's and Bergson criterion of social welfare. (10)
- Using an Edgeworth box, illustrate and explain the concept of Pareto efficiency. (10)
- Are competitive markets Pareto efficient? Explain (10)





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